Outlook

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Participation cash flows are not following the simple story

Hi,

This came up in a working session and nobody had the same definition.

Treasury and Lending need to understand whether originated, serviced and participated loans behave differently after booking.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: servicing-bank arrangements create operational exceptions; risk share and customer behaviour are being confused; or participated loans have different payment timing.

Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use June 2021 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether participation terms, servicing controls or reporting need to change. Please bring a short decision pack with no more than five slides and an attached evidence table, including a few cases we can trace from source to conclusion.

The available evidence is loan participation and servicing records available by the request date; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments. The files support servicing and behavioural analysis, not external-bank accounting or legal settlement confirmation.

Thank you